

Source Selection Practical

TOPIC LEARNING OBJECTIVES

Upon successful completion of this topic, the student will be able to:

1. As a member of an Integrated Product Team, develop portions of a Source Selection Plan (SSP) to include relative ranking of sub factors and development of evaluation criteria.
2. Identify the purpose of evaluation criteria and how the criteria are developed.
3. Select a best value contractor by comparing contractor proposals and test results to source selection criteria.

STUDENT PREPARATION

Student Support Material

1. Department of Defense Source Selection Procedures 20AUG2022

Primary References

1. Federal Acquisition Regulation
2. DFARS Procedures, Guidance and Information Subpart 215.3—Source Selection (DoD Source Selection Procedures)

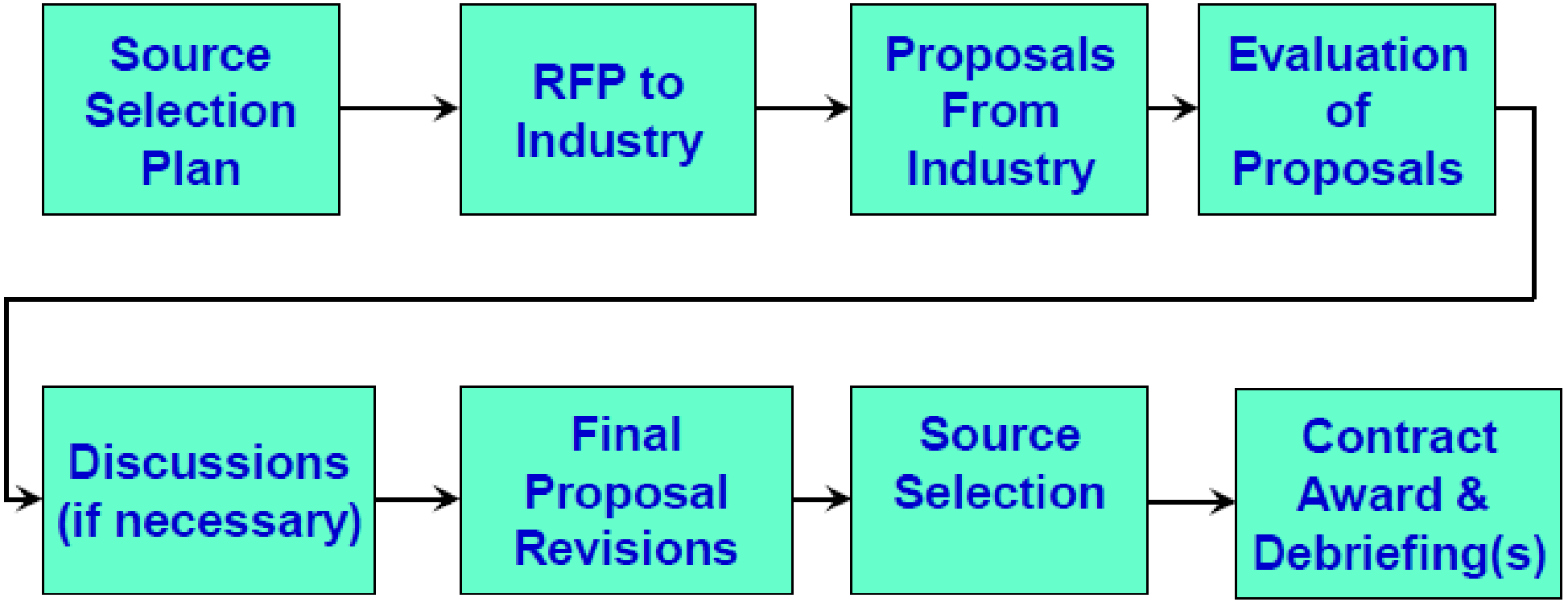
Additional References

1. None

Overview

- Source Selection Review
- Source Selection Exercise

Source Selection Process Review



Request For Proposal (RFP) Format

- Part I – Schedule
  - Section A: Solicitation/contract form
  - Section B: Supplies or services and prices/costs
  - Section C: Description/Specifications/Work Statement (derived from CDD/CPD)
  - Section D: Packaging and marking
  - Section E: Inspection and acceptance
  - Section F: Deliveries and performance
  - Section G: Contract administration
  - Section H: Special contract requirements
- Part II – Contract Clauses
  - Section I: Contract clauses
- Part III – List of Documents, Exhibits, and other Attachments
  - Section J: List of attachments
- Part IV – Representations and Instructions
  - Section K: Representations, certifications, and other statements of offerors
  - Section L: Instructions, conditions, and notices to offerors or respondents
  - ***Section M: Evaluation factors for award***

DoW Source Selection Process

- Provides:
  - Uniform procedures across DoW
  - Simplified source selection process
  - Standardized rating criteria and descriptions for technical and past performance factors
  - Requires appointment of SSAC on source selections valued over $100M
- Documented in Defense Federal Acquisition Supplements (DFARS) Subpart 215.3—Source Selection (DoD Source Selection Procedures)

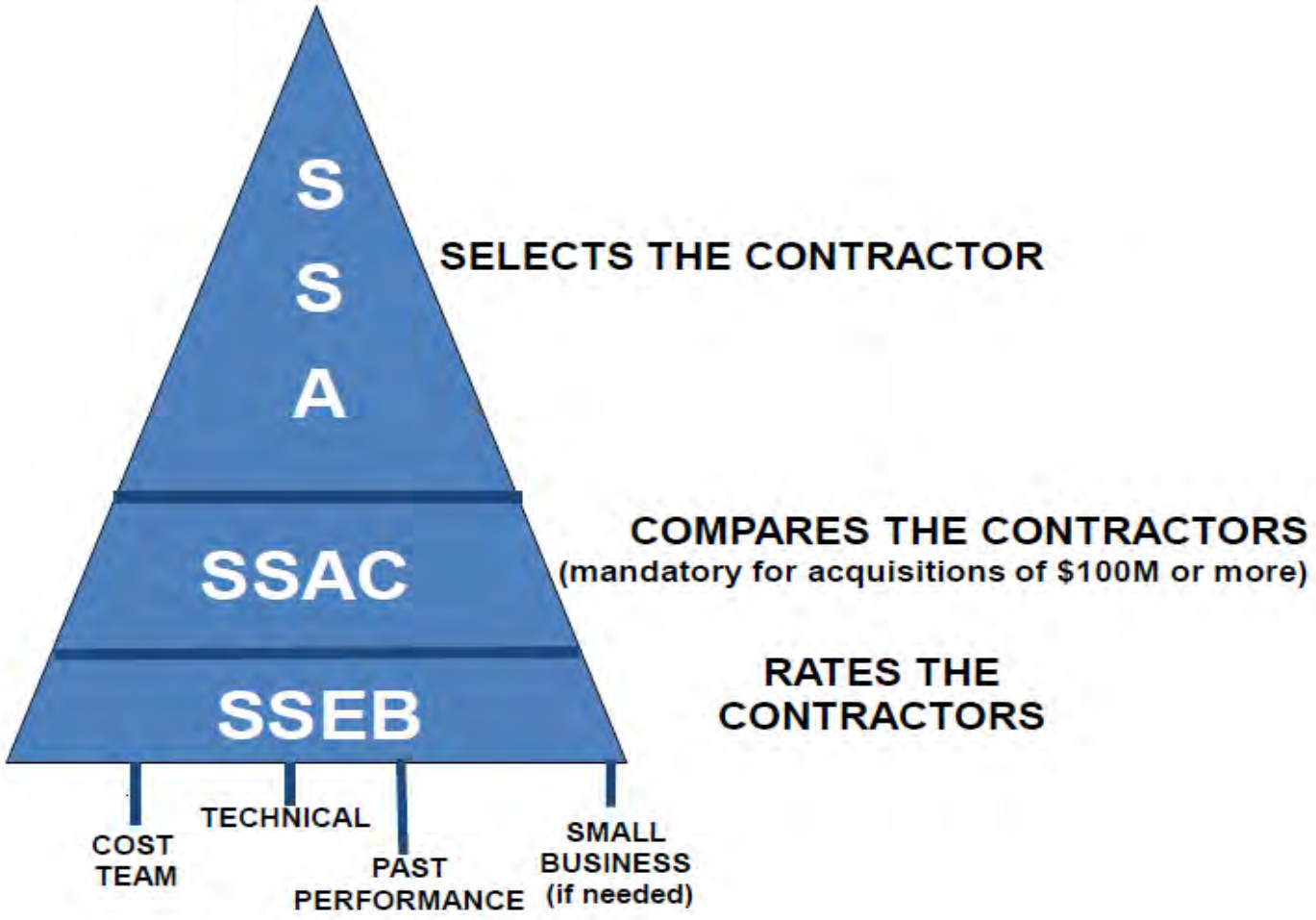
The Source Selection Plan

- Details all aspects of source selection process
- Key elements include:
  - Organization/personnel
  - How Source Selection will be conducted
  - Criteria for proposal evaluation
    - Provide a structured, fair, and impartial evaluation of offerors
    - Maximize competition and innovation
    - Select best source
- Prepared by the Contracting Officer/IPT
- Approved by the Source Selection Authority (SSA)

Program Manager Roles and Responsibilities

- Ensure technical requirements are approved and stable
- Establish technical specifications
- Develop Statement Of Work (SOW), Statement Of Objective (SOO), or Performance Work Statement (PWS)
- Allocate resources to support SSP
- Assist in establishing Source Selection Team (SST)
- Assist in development of evaluation criteria

Source Selection is a Team Sport



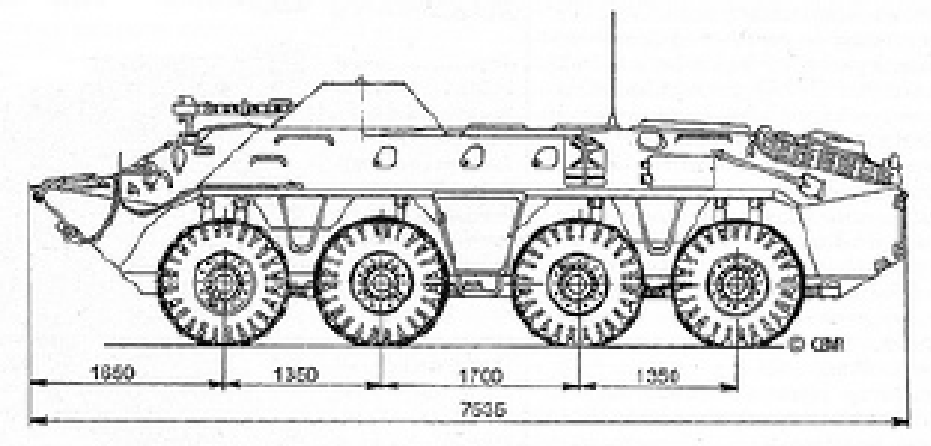
SSA: Source Selection Authority
SSAC: Source Selection Advisory Council
SSEB: Source Selection Evaluation Board

Evaluation Factors/Subfactors

- Good Evaluation Factors:
  - Provide meaningful discrimination among offerors
  - Are representative of level of importance individual factors are to the overall program
  - Are tailored to the acquisition
  - Represent the key areas of importance and emphasis to be considered in the source selection decision; and
  - Support meaningful comparison and discrimination between and among competing proposals.
- Examples:
  - Cost
  - Technical
  - Past Performance
  - Small Business Participation
- Level of detail and number of evaluation factors will vary
- Evaluation criteria are communicated to the bidders via the RFP in Section M
  - Per statute, the solicitation shall clearly state the ***relative importance of all factors and significant subfactors and identify the relationship of all factors other than cost or price combined*** as "significantly more important than", "approximately equal to", or "significantly less important than" ***the cost or price***

Evaluation Factors and Subfactors Example

- Factors:
  - Technical
    - Weapon Accuracy
    - Range
    - Improved Explosive Device (IED) Protection
  - Past performance
    - Recent relevant effort
      - Design and construction of similarly complex ships
      - Technical compliance
      - Cost compliance
      - Management performance



Factors will be ranked by importance relative to other factors as detailed in the SSP and Section M of the solicitation

Evaluation Standards

- Developed for each factor/subfactor
- Used to determine how well a proposal meets a factor/subfactor
- Can use words, numbers, colors, etc.
- Must be clearly defined and understood by the SSEB
- Evaluation standards are not included in the RFP (for use by SSEB)

Evaluation Rubric

Color Rating	Adjectival Rating	Description
Blue	Outstanding	Proposal demonstrates an exceptional approach and understanding of the requirements, contains multiple strengths and/or at least one significant strength.
Purple	Good	Proposal demonstrates a thorough approach and understanding of the requirements and contains at least one strength or significant strength.
Green	Acceptable	Proposal demonstrates an adequate approach and understanding of the requirements.
Yellow	Marginal	Proposal has not demonstrated an adequate approach and understanding of the requirements.
Red	Unacceptable	Proposal does not meet requirements of the solicitation and, thus, contains one or more deficiencies and is un-awardable.

Source Selection Summary

- Sample factor: Reliability
  - Importance: Reliability is more important than cost or price
  - Evaluation standard:

Subfactor	Standard	Rating
MTBCF	130 hrs ≤ MTBCF	Blue
	100 ≤ MTBCF < 130	Purple
	70 ≤ MTBCF < 100	Green
	40 ≤ MTBCF < 70	Yellow
	MTBCF < 40 hrs	Red

MTBCF - Mean Time Between Critical Failure

Overview

- Source Selection Review
- Source Selection Exercise

Exercise Part 1 Background

- Scenario: New CGW(X) Ship Program
- The analysis is completed, and a preferred solution has been identified. ASN (RD&A) has granted approval for M/S A
- Your Ship Design Team has worked hard to iterate the design and develop trade-off opportunities for the sponsor to consider in finalizing the CDD
- Work has already begun on developing a Government Preliminary Contract Design as well as the RFP
- A team has been assembled to write a SSP for the full and open competition for award of the Detailed Design and Construction (DD&C) contract

Exercise Part 1 Data:

- One of the factors to be evaluated at the source selection is technical performance. The CGW(X) source selection team has already developed technical subfactors based on the draft CDD. Those performance factors include:
  - Survivability (KPP)
  - Endurance (range unrefueled at 20 kts) (KPP)
  - Sprint Speed (at 90% MCR and sea state 3) (KPP)
  - Mission Payload
  - Anti-Air Warfare/Ballistic Missile Defense (KPP)
  - Anti-Submarine Warfare
  - Energy Efficiency (KPP)
  - System Training (KPP)
  - Environmental
  - Manning
  - Net Ready (interoperability) (KPP)
  - Force Protection (KPP)
  - Sustainability (KPP)
  - Aviation Capability
  - Troop Delivery (KPP)

Exercise Part 1a

- As a group, rank by relative importance the following subfactors: Sprint Speed, Mission Payload, Troop Delivery, Aviation Capability, Endurance (unrefueled range), and Energy Efficiency (fuel consumption at endurance speed). State the final product in the following terms: “X is significantly more important than Y, which is equally as important as Z which are more important than …” or something to that effect
  - Sprint Speed:
  - Mission Payload:
  - Troop Delivery:
  - Aviation Capability:
  - Endurance:
  - Efficiency:

Exercise Part 1b

- You will be divided into groups. Each group will be assigned some of the six ***technical*** subfactors ranked in the previous step to develop evaluation standards. Use the template in your class notes to fill in the subfactors and evaluation standards based on the information below:

Subfactors	Threshold	Objective
Sprint Speed at 90% Max Continuous Rating in Sea State 3	30 kts	40 kts
Mission Payload	600 ST	1000 ST
Troop Delivery	Offload 5 hours	Offload 1 hour
Aviation Capability	Deck area for 1 SH-60 with rotors turning and hangar area for 1 SH-60 with rotors folded	Deck area for 2 SH-60s with rotors turning and hangar area for 2 SH-60s with rotors folded
Endurance (Unrefueled range at endurance speed)	2500 NM	3500 NM
Energy Efficiency (Fuel consumption at endurance speed)	600 gallons/hour	400 gallons/hour

Exercise Part 1b (cont.)

Subfactor	Standard	Rating
		Blue
		Purple
		Green
		Yellow
		Red

Exercise Part 2

- Using the evaluation criteria developed in Part 1, evaluate Shipyard A and B and recommend down selection for the Detail Design and Construction (DD&C) contract for the CGW(X) in preparation for the M/S B/C Decision
  - Shipyard A Technical Proposal:
    - Sprint Speed: 35 kts
    - Mission Payload: 850 tons
    - Troop Delivery: 4 hours
    - Aviation Capability: Deck area for 2 SH-60's/Hangar for 1 SH-60
    - Endurance: 3000NM at 20 kts
    - Efficiency: 450 gallons/hour at 20 kts
  - Shipyard B Technical Proposal:
    - Sprint Speed: 42 kts
    - Mission Payload: 600 tons
    - Troop Delivery: 2 hours
    - Aviation Capability: Deck area for 1 SH-60/Hangar for 2 SH-60's
    - Endurance: 2500NM at 20 kts
    - Efficiency: 500 gallons/hour at 20 kts

Exercise Part 2

- You are part of a SSEB:
  - Rate each Shipyard, using the standards developed in Part 1
  - Develop an overall rating based on the relative importance your group determined between each subfactor. Use the summary chart below to fill in your results
    - Fill in the decision matrix with letters to represent colors (B, P, G, Y, or R)
    - Recommend an overall rating
- Now you are on the SSAC:
  - Recommend a Contractor to the SSA based on best value trade-off
  - Would your selection change if using LPTA?

	SUBFACTORS						OVERALL
	1	2	3	4	5	6	
A							
B							